



LEGAL FRAMEWORK AND CONTRACTUAL OBLIGATIONS IN GRANTS

FACILITATORS

LEGAL DEPARTMENT

TOPICS TO BE COVERED

1. Understanding JKUAT's Grants Management Directorate
2. The Grants Management Life Cycle
3. Legal Framework of Grants management
4. Contracting (Elements of a Contract, Key Clauses and best practices)
5. Negotiation and Signing of Grants
6. Q&A



DIRECTORATE OF GRANTS MANAGEMENT

The Directorate of Grants Management was established in June 2019 under the Vice Chancellor's office in line with JKUAT's strategic plan and Vision Plan (2018 – 2023) and the Vice Chancellor's blue print for making JKUAT a research university.

The Grants Office identifies sources of funding, mobilizes staff members to respond to calls for proposals, ensure prudent and ethical management of donor funds, and enhance communication between JKUAT and its donors.

The office also ensures efficient and timely utilization of funds as per the project work plan and enhances sustainable relationships with our development partner. The grants office is a one stop center for accessing information and resources relating to funded projects in JKUAT.



GRANTS MANAGEMENT LIFE CYCLE

The Grants Management Life Cycle has three phases.

1. Pre-award Phase
2. Award Phase
3. Post-award Phase

PRE-AWARD PHASE

- a. Strategy Management
- b. Proposal writing and submission
- c. Further review and negotiation



GRANTS MANAGEMENT LIFE CYCLE

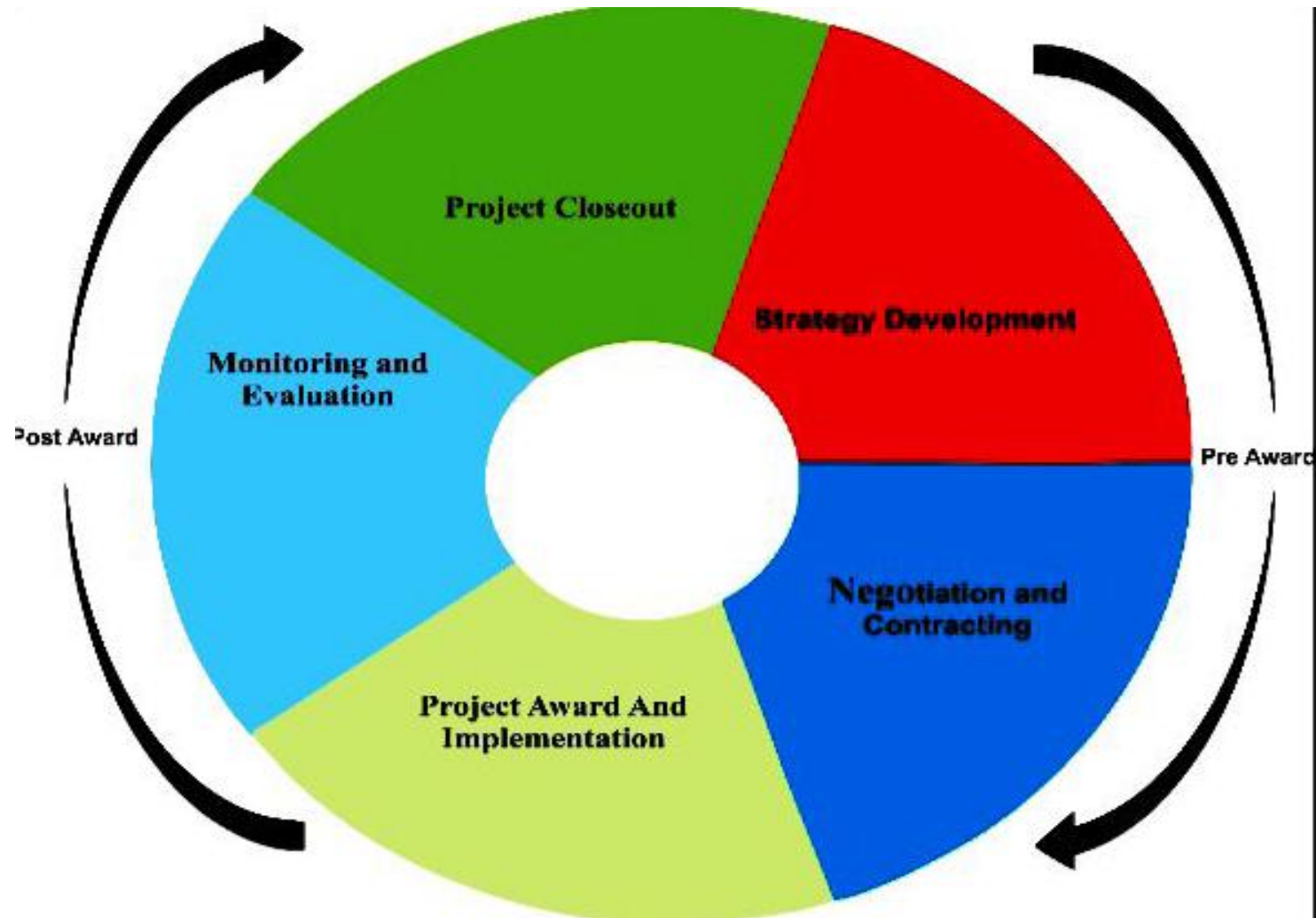
AWARD PHASE

- a. Signing of contractual agreements
- b. Development of project implementation plans

POST-AWARD PHASE

- a. Implementation
- b. Continuous monitoring and evaluation
- c. Project close out
- d. Impact assessment and learning.

GRANTS MANAGEMENT LIFE CYCLE



LEGAL FRAMEWORK OF GRANTS

The following Laws govern the operations of the Grant Management Directorate.

- (i) The Constitution of Kenya, 2010
- (ii) Universities Act, 2012
- (iii) JKUAT Charter, 2013
- (iv) Public Finance Management Act, 2015
- (v) Public Procurement and Asset Disposal Act, 2015
- (vi) Public Procurement and Disposal Regulations, 2006
- (vii) Public Officers Ethics Act, 2003
- (viii) Mwongozo Code of Governance for State Corporations
- (ix) Leadership and Integrity Act, 2012



CONTRACTING

ELEMENTS OF A CONTRACT

For every grant secured by the University, a grant funding agreement/contract is prepared with the relevant terms governing the operations of the Grant.

For a legally binding contract to be enforced by a court of law six elements **Must** be present. The six elements of are:-

1. Offer
2. Acceptance
3. Intention
4. Capacity
5. Consideration
6. Legality



ELEMENTS OF A CONTRACT

OFFER

This is an expression of willingness to enter into a contract on certain terms. An offer could be in different forms; written, spoken or by conduct.

An invitation to enter into a contract is not an offer e.g. Invitation to write proposals for a grant is not an offer. It is simply letting researchers know that the organization is interested in receiving offers from the Researchers.

Once a researcher writes and submits their proposal to the organization the researcher is making an offer to the organization which the organization may or may not accept.



ELEMENTS OF A CONTRACT

ACCEPTANCE

This is an unconditional agreement to all the terms of the offer. An offer must be accepted for a contract to be formed, the acceptance must "mirror" the terms of the offer otherwise it's deemed as a counter offer or rejection.

It is important for the acceptance to be communicated because silence does not always mean acceptance.

In the grants context the *grantor* will in most cases inform the *grantee* that their proposal has been accepted



ELEMENTS OF A CONTRACT

CONSIDERATION

The value of the contract.

For a contract to be formed **something of value** must be exchanged. Consideration doesn't have to be monetary. It could also be a service.

Consideration distinguishes a donation from a grant. A donation is a voluntary and gratuitous transfer of property without something of value promised in return.



ELEMENTS OF A CONTRACT

INTENTION/ MEETING OF THE MINDS/ *CONSENSUS AD IDEM*

The parties entering into a contract must understand and agree to the basic substance and terms of the contract. Both parties should recognize the contract they are entering into and mutually agree to be bound by the obligations under the contract.

Where one party alleges there was duress, fraud, undue influence or misrepresentation there was no consensus ad idem and the contract may be voided.



ELEMENTS OF A CONTRACT

LEGALITY

Courts cannot enforce an illegal bargain.

The subject of the contract must be legal.



CONTRACT DRAFTING

Key Clauses of a Grant Contract/Agreement

DESCRIPTION OF PARTIES

The description must capture the names, legal status and addresses of the parties.

Grant Agreements go a step further and mention the Legal Representative and the Principal Investigator. The Legal Representative is the Vice Chancellor pursuant to **Clause 2.2.1** of the Grants and Consultancies Management Policy- the Vice Chancellor approves all contractual engagements.



CONTRACTING AND NEGOTIATION

CONTRACT DRAFTING – Cont.

Cont.

SAMPLE DESCRIPTION OF PARTIES CLAUSE

THIS AGREEMENT is made on the day of2022, between, Xxxxxxxx located in yyyyyy and whose address is zzzzz of the first part, and

JOMO KENYATTA UNIVERSITY OF AGRICULTURE & TECHNOLOGY, a public University established under the University Act, 2012 located in Juja, Kiambu county and whose address is P.O. Box 62000-00200 Nairobi Kenya with its **Legal representative being, the Vice Chancellor, Prof. Victoria Wambui Ngumi** and the Principal Investigator being **Prof. Naomi Maina** of the other part.



CONTRACTING AND NEGOTIATION

CONTRACT DRAFTING – Cont.

- 1) **DURATION CLAUSE**- spells out the timeframe of the contract; coming to force and termination of the agreement.
- 2) **OBLIGATIONS CLAUSE**-describes the obligations of each party to the contract. Breach of these obligations may lead to termination of the contract.
- 3) **THE AMOUNT CLAUSE**-the grant amount in words and numbers.
- 4) **THE OBJECTIVE CLAUSE**-specifies the purpose of the grant.
- 5) **PROJECT PLAN/ BUDGET CLAUSE**- specifies how the funds will be utilised.



CONTRACTING AND NEGOTIATION CONTRACT DRAFTING – Cont.

TERMINATION/EXIT CLAUSE

It is vital to include an early termination clause in the event that the contract is no longer viable for both parties. The best practice is to provide for one month's termination notice in the exit clause.

CONFIDENTIALITY/NON-DISCLOSURE CLAUSE

When two entities contract with each other they will inevitably be required to furnish each other with important information pertaining to the business practice in order for both parties to perform their obligations.



CONTRACTING AND NEGOTIATION CONTRACT DRAFTING – Cont.

CONFIDENTIALITY/NON-DISCLOSURE CLAUSE

A confidentiality clause outlines how confidential information (e.g. financial data, intellectual property, employee personal data) gathered during and after the contractual period will be safeguarded from misuse and third parties.



CONTRACTING AND NEGOTIATION CONTRACT DRAFTING – Cont.

DISPUTE RESOLUTION CLAUSE

Parties decide from the onset how they wish to resolve their disputes.

There are a number of available dispute resolution avenues.

- a) Settling disputes through the courts.
- b) alternative forms of dispute resolution which include reconciliation, mediation, arbitration and traditional dispute resolution mechanisms. (Article 159(2)(c) of the Constitution of Kenya, 2010.



CONTRACTING AND NEGOTIATION CONTRACT DRAFTING – Cont.

DISPUTE RESOLUTION CLAUSE-cont.

The most popular dispute resolution method proffered by most contracting parties is Arbitration owing to the following reasons: -

- Quicker Resolution of disputes.
- Simplicity-the rules of evidence are not as elaborate and complicated.
- Privacy of the dispute.
- Less expensive as one is not subjected to exorbitant court filing fees.
- Finality: The end of the dispute. The arbitral award in most instances will not be appealable.



CONTRACTING AND NEGOTIATION CONTRACT DRAFTING – Cont.

CHOICE OF LAW/JURISDICTION CLAUSE

Owing to the fact that grant agreements will involve working with partners from different countries. This clause will specify which rules and laws will apply. Best to negotiate for a jurisdiction that is convenient to both parties or one that is relatively neutral e.g. International Arbitration Center.



CONTRACTING AND NEGOTIATION CONTRACT DRAFTING – Cont.

FORCE MAJEURE CLAUSE

This clause relieves a party to a contract from its contractual obligations arising from uncontrollable circumstances that make it difficult to perform its obligations.

Uncontrollable circumstances (“*Acts of God*”) would include but not limited to; acts of war, terrorist attacks, epidemics, pandemics like COVID-19, death, labor strikes, riots, crime or property theft, natural disasters (like blizzards, earthquakes, or hurricanes) etcetera.



CONTRACTING AND NEGOTIATION

CONTRACT DRAFTING – Cont.

INDEMNIFICATION CLAUSE

In this clause, one party releases the other party from any loss or injury that the other may suffer as a result of their non-performance of the contract.

ASSIGNMENT CLAUSE

This clause governs how contracting parties may transfer rights and obligations under the contracts to third parties. Best practice is to prohibit the parties from assigning their rights or obligations to third parties.



CONTRACTING AND NEGOTIATION CONTRACT DRAFTING – Cont.

INTELLECTUAL PROPERTY CLAUSE

Patents, trademarks, copyrights, and trade secrets are valuable assets of an Institution and it is important to have a clause in the contract detailing how they will be protected.

The best practice is to define the intellectual property or intellectual property output under the research project, how authorization to use IP will be issued(vide an IP Agreement or vide correspondence), to whom the authorization may be issued and who will own the IP after the expiry of the contract.



CONTRACTING AND NEGOTIATION CONTRACT DRAFTING – Cont.

SIGNATURE CLAUSE

All Grant Contracts are signed between the Vice Chancellor and the Contracting Authority and Witnessed by the Deputy Vice Chancellor Research, Production and Extension (RPE).



CONTRACTING AND NEGOTIATION

Other types of Agreements.....

Technology Transfer Agreements

Material Transfer Agreements

Memorandum of Understanding

Memorandum of Agreement

NEGOTIATION & SIGNING PROCEDURES

1. Negotiate for favorable Contractual Terms.
2. Request for and share a soft copy so that any variations or amendments are easily tracked, adopted and shared for signature.
3. Adhere to the Grants Management timelines to avoid last minute delays when it comes to signing. 2 (Directorate website- <http://www.jkuat.ac.ke/directorates/grants>) Slide 7
4. Ensure to notify the contracting authority of JKUAT's Grant Policy requirements particularly the 10% Administrative Fee.



Q & A



THANK YOU
THE END